on tax evasion; to punish corrupt politicians; to crush currency smuggling and thereby to shore up the external value of the currency.

Excerpts from an article in the Ghana web, by George Ayittey, describe what happened as a result: 'The government insisted that the withdrawal of the 50 cedi note was not against the poor or the genuine rich, but rather it was meant to withdraw excess liquidity in the hands of a few greedy and corrupt businessmen.'

Citizens were given two weeks to deposit these notes in their banks in return for chits that were supposed to be redeemed later. They never were. Ghana shut its borders for two years.

When the news of the demonetization leaked out, many people in Accra and other parts of the country went on shopping sprees before the 12 February 1982 deadline to get rid of their notes. Many rural Ghanaians folks had to trek for miles to the nearest bank in highly inaccessible regions of the country to exchange their money. Missing the deadline meant that a whole lifetime of savings could be lost forever.

Then on 13 February 1982, a day after the deadline for the deposit of the demonetized 50 cedi notes, the government announced that account holders whose balances exceeded 50,000 cedis would be subject to investigative probes to determine their compliance with tax obligations. The public reacted by shunning the banking system and conducting business strictly on a cash basis. The loss of confidence in the cedi and the subsequent flight from the currency resulted in soaring black market rates. Within one year, the black-market rate jumped from 40 to 100 cedis to the dollar.

In one stroke, this inane policy shattered confidence in the currency and dealt a devastating blow to the banking system, from which it took years to recover. For more than a decade after the currency change, Ghanaians shunned the banking system, leading to large amounts of cash being held outside the system. Which fool would put his money in a bank and invite a tax audit?